WEEK 11 · LECTURE L1 · UNIT IV

Digital HR Strategy: Resilience and Agility

Why a strategy is an operating model, not a project list, and how dynamic capabilities and small tested steps keep it alive.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

1. Distinguish a digital HR strategy (an operating model) from a project list, and name the elements of an operating model.
2. Distinguish resilience from agility, and apply build, measure, learn with decision rules and limits.
3. Apply dynamic capabilities, exploration and exploitation, emergent strategy and Westerman’s leadership capabilities.
4. Use scenario planning to test a strategy across plausible futures.

ONE SOURCE

The same theories as the in class lecture and the course hub, without the simulation data used in class. Course outcomes: CLO 4 and CLO 5.

COMMIT BEFORE THEORY

Commit to an answer first

An HR strategy document lists: “Buy an HRIS, launch a chatbot, build a dashboard, audit the ATS.” What is missing for it to be a strategy?

A

More projects

B

Choices about who decides, how money flows, what is measured and how capability is built, so it survives a change of tools

C

A larger budget

D

A vendor shortlist

EXAM LENS

The answer is B.

AN OPERATING MODEL

A strategy is an operating model, not a project list

Element	The question
Strategy and value proposition	What outcomes does HR deliver?
Structure	Shared services, centers of excellence, business partners?
Roles and capabilities	How is HR’s own skill built?
Processes and service delivery	How does work flow to employees and managers?
Technology and data	HRIS, tools, analytics, integration
Governance and decision rights	Who decides on tools, data and policy?
Funding and measures	How does money flow and stop; which outcomes are tracked, by whom?

EXAM LENS

A project list can succeed item by item while the function stays the same; an operating model survives a change of tools and says what happens when a pilot fails. There is no single right model: what matters is that the elements align. Tools follow strategy (Week 2).

Strength to absorb shocks; speed to adapt

Resilience

Absorb disruption, recover, and respond to the specific situation. HR’s part: a diversified talent portfolio (core, contractors, gig), adaptive learning, scenario based workforce plans.

Agility

Respond quickly, pivot, keep learning. Agile structures: squads (5 to 9), tribes (40 to 150), chapters, guilds; hiring sprints, quarterly OKRs, frequent check ins.

Evidence caution

The teaching note cites Deloitte (2024): agile HR practices with 30% faster time to productivity and 25% higher engagement. Practitioner survey figures, not research.

RECENT EVIDENCE · HILLMANN AND GUENTHER (2021)

A systematic review finds organizational resilience criticized as fuzzy: definitions vary and measurement is unsettled. Define resilience before you claim it.

THEORY IN DEPTH · TEECE, PISANO AND SHUEN (1997); TEECE (2007)

Dynamic capabilities: sense, seize, transform

Sense

Spot shifts in technology, regulation and workforce early.

Seize

Commit resources to the opportunities that matter.

Transform

Reconfigure structures, skills and processes as conditions change: stop a failing pilot, move budget, retrain staff.

EXAM LENS

Lasting advantage comes from the capacity to keep reconfiguring, not from any single asset. Contrast with the resource based view (Week 2): one is about having resources, the other about changing them. Critics: hard to measure, possibly circular.

RECENT EVIDENCE · WARNER AND WÄGER (2019)

Incumbent firms build dynamic capabilities for digital transformation through nine microfoundations, with agility as the core mechanism of strategic renewal.

THEORY IN DEPTH · MARCH (1991)

Exploration and exploitation compete for resources

The core idea

Exploitation refines what works; exploration searches for what might work better.

How it works

Exploitation pays quickly and surely; exploration pays slowly and uncertainly, so organizations tend to under explore.

Limits and critique

The right balance depends on the environment and is hard to set in advance.

IN PRACTICE

Fund a few small pilots each year alongside fixing the core record: exploration and exploitation together.

EXAM LENS

Name the tradeoff explicitly and argue for a portfolio.

THEORY IN DEPTH · MINTZBERG AND WATERS (1985)

Strategy is partly planned and partly emergent

The core idea

Realized strategy combines deliberate plans with patterns that emerge from action.

How it works

Good managers learn from emergent patterns and fold them into the plan.

Limits and critique

Too much emergence can become drift without direction.

IN PRACTICE

Adoption data after launch are emergent signals; a good HR strategy changes in response.

EXAM LENS

Use this to argue against rigid multiyear HR technology roadmaps.

RIES (2011)

Build, measure, learn in HR

Build

A minimum viable product: the smallest pilot that tests the key assumption, at one site or with one group.

Measure

A measure chosen in advance; validated learning, not features shipped.

Learn

Scale, fix or stop, by a rule set beforehand.

EXAM LENS

Decide the decision rule before the pilot, or the result will be explained away. Not everything can be piloted on people: pay, contracts and dismissals need care, consent and fairness. Built for startups; large organizations must adapt it to governance and compliance. Links to real options and stage gate (Week 6).

RECENT EVIDENCE · MCMACKIN AND HEFFERNAN (2021)

Agile HR, defined as an HR operational strategy, is widespread in practice but has received virtually no academic attention. Treat its claims as untested.

WESTERMAN, BONNET AND MCAFEE (2014)

Leading digital: four leadership capabilities

Vision

How the organization will be different, not which tools it will buy.

Engagement

People understand the change and help shape it.

Governance

Clear decision rights and coordination across units.

Technology leadership

A strong relationship between business and technology leaders.

EXAM LENS

Digital capability without leadership capability does not transform (Week 2).

SCHOEMAKER (1995)

Scenario planning for HR

Talent volatility →

Talent wars High volatility, low automation	**Turbulent transformation** High volatility, high automation
Steady state Low volatility, low automation	**Automation leap** Low volatility, high automation

Automation intensity →

Seven steps

1 Focal question. 2 Scan drivers (PESTEL). 3 Rank by impact and uncertainty. 4 Two critical uncertainties as axes. 5 A narrative for each quadrant. 6 Responses for each. 7 Leading indicators to watch.

EXAM LENS

Scenario planning prepares for several plausible futures without predicting one: cognitive flexibility, preparedness, leadership alignment, a strategy robust across futures. Budget for the J curve dip and name the leading indicators.

Example axes for an Indian manufacturer: Course framing.

APPLY

A strategy for a mid sized manufacturer

Teaching case (Course framing)

A Coimbatore pump manufacturer with 5,000 staff presents its digital HR strategy as six projects with vendor names and dates. Attrition among technicians is rising, and automation of the machine shop is planned within three years. The Board asks what happens if the automation is delayed.

Work it through

1. Rewrite the six projects as an operating model.
2. Which dynamic capability is missing?
3. Design one pilot with a measure and a decision rule.
4. Which two uncertainties would you put on the scenario axes?

COMMON CONFUSIONS

Tempting readings, and better ones

A tempting reading	A better reading
A strategy is a list of initiatives	A set of choices about decisions, money, measures and capability
Agility means changing plans often	Small tested steps with rules set in advance
Scenario planning predicts the future	It prepares for several plausible futures
Resilience and agility are the same	Strength to absorb, and speed to adapt

COMPARE AND EVALUATE

Six lenses on strategy

Lens	Use it to	Watch out for
Operating model	Turn a list into a strategy	No single right model
Teece (1997; 2007)	Build the capacity to change	Hard to measure
March (1991)	Balance exploring and exploiting	Balance hard to set
Mintzberg and Waters (1985)	Learn from emergence	Drift
Ries (2011)	Test with decision rules	Limits of experimenting on people
Schoemaker (1995)	Test robustness across futures	Choosing the right axes

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

Using dynamic capabilities, build measure learn and scenario planning, critique the digital HR strategy of an Indian conglomerate that consists of a list of technology projects, and propose a resilient alternative. **20 marks**

A strong answer: distinguishes a project list from an operating model; applies sensing, seizing and transforming; designs pilots with decision rules and notes limits of experimenting on people; uses scenario axes with Westerman's leadership capabilities.

How can HR build resilience and agility? Evaluate the relevance of March (1991) and the lean startup. **20 marks**

A strong answer: distinguishes resilience from agility; argues an exploration and exploitation portfolio; adapts build, measure, learn to governance.

Distinguish deliberate from emergent strategy with an HR example. **10 marks**

A strong answer: correct definitions and a relevant example.

CARRY THESE INTO THE EXAMINATION

Four things to remember

1. **A strategy is who decides, how money flows and what is measured.**
   Not a list of tools.

2. **Small tested steps build resilience and agility.**
   Decision rules first.

3. **Plan deliberately, and learn from what emerges.**
   Keep exploring while you exploit.

4. **Prepare for several futures.**
   Robust across scenarios, with leading indicators.

SET READINGS · FROM THE LESSON PLAN

Read for this week

- Westerman, Bonnet and McAfee (2014), leadership and strategy chapters, reread.
- Scully-Russ and Torraco (2020), pp. 84 to 85 and 88 to 89.
- Sample Board memos, strong and weak, annotated.

NOTE

The other works named in this lecture are theory sources for reference, not set readings.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture

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